



Paper ID : 261070

Printed Page: 1

Subject Code:KMHC207

Roll No:

MBA

(SEM. II) THEORY EXAMINATION 2025-26

COST AND MANAGEMENT ACCOUNTING IN HEALTH CARE

TIME: 3 HRS

M.MARKS: 100

Note: Attempt all Sections. In case of any missing data; choose suitably.

SECTION A

1. Attempt *all* questions in brief.

2 x 10 = 20

Q No.	Question	CO	Level
a.	Define cost accounting and management accounting.		K2
b.	Differentiate between direct cost and indirect cost.		K2
c.	What is marginal costing?		K1
d.	State any two advantages of break-even analysis.		K1
e.	What is budgetary control?		K1
f.	Differentiate between fixed budget and flexible budget.		K2
g.	Define standard costing.		K1
h.	What is material price variance?		K2
i.	Explain responsibility accounting.		K1
j.	What is activity based costing?		K2

SECTION B

2. Attempt any *three* of the following:

10 x 3 = 30

Q No.	Question	CO	Level
a.	Explain the objectives, advantages and limitations of cost accounting in healthcare organizations.		K3
b.	Distinguish between marginal costing and absorption costing. Prepare income statements under both methods with suitable example.		K3
c.	Discuss the concept of Cost-Volume-Profit analysis. Explain contribution, P/V ratio, break-even point and margin of safety with examples.		K4
d.	What is budgetary control? Explain the essentials of effective budgeting and discuss different types of budgets used in hospitals.		K2
e.	Explain the concept of standard costing and discuss the applications of material, labour and overhead variances in healthcare management.		K3

SECTION C

3. Attempt any *one* part of the following:

10 x 1 = 10

Q No.	Question	CO	Level
a.	Explain the concept of Cost Sheet and discuss its importance in cost control and managerial decision-making in healthcare organizations.		K3
b.	Explain the reconciliation procedure between cost accounts and financial accounts with suitable illustration.		K4



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4. Attempt any one part of the following:

10 x 1 = 10

Q No.	Question	CO	Level
a.	A hospital department has fixed costs of ₹2,40,000 and contribution per patient of ₹400. Calculate break-even point and margin of safety if 900 patients are treated.		K5
b.	Explain applications of marginal costing in managerial decision making in healthcare organizations.		K3

5. Attempt any one part of the following:

10 x 1 = 10

Q No.	Question	CO	Level
a.	What is cash budget? Prepare with imaginary figure.		K2
b.	Explain Zero Base Budgeting and discuss its advantages and limitations in healthcare sector.		K3

6. Attempt any one part of the following:

10 x 1 = 10

Q No.	Question	CO	Level
a.	Explain the concept of Variance Analysis and discuss its importance in cost control in healthcare organizations.		K3
b.	Differentiate between Standard Costing and Budgetary Control. Explain their importance in healthcare organizations.		K4

7. Attempt any one part of the following:

10 x 1 = 10

Q No.	Question	CO	Level
a.	Explain transfer pricing methods and their importance in divisional performance measurement.		K3
b.	Discuss Activity Based Costing, Target Costing and Life Cycle Costing with reference to healthcare industry.		K4